

CMS Info Systems: ATM Withdrawals Are Shrinking. The Profit Pool May Be Consolidating.

At ₹247, the market is valuing India's largest cash manager like an ex-growth business—even as fixed-fee contracts and banking technology change the earnings mix



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Share

The obvious bear case on CMS Info Systems fits in one sentence:

India is moving to UPI, so why would I own a cash-management company?

That argument is not wrong. It is incomplete.

ATM withdrawal volumes are falling. The ATM network is no longer growing meaningfully. CMS also had a poor FY26: revenue barely grew, EBITDA declined, F fell 19%, working capital worsened and free cash flow turned negative after a heavy investment year.

This is exactly why the stock is interesting at the right price.

CMS is not merely transporting notes between vaults and ATMs. It is the largest outsourced cash-management network in India, an integrated ATM operator, a banking-software provider and the owner of a fast-growing Vision AI platform. Its weaker competitors are retreating, banks are outsourcing more work, contracts are moving from transaction-linked to fixed-fee models, and technology is rising rapidly in the revenue mix.

At the closing price of approximately ₹247 on 21 August 2026, CMS had an estimated post-buyback market capitalisation of roughly ₹3,950 crore and traded at about 13.

times trailing earnings. After adjusting for approximately ₹400 crore of cash indicated by management, the operating business is available for around 10–12 times my estimate of normalised owner earnings.

My conclusion is simple:

At around ₹247, CMS Info Systems qualifies as a value buy for a starter position, not an all-in bet.

The upside does not require ATM transactions to return to growth. It requires CMS to keep taking share, reprice contracts, convert last year's capex into revenue and grow Technology & Payments fast enough to offset the slow decline in physical-cash transactions.

That distinction is the entire thesis.

All market data and calculations in this article are as of 21 August 2026 unless stated otherwise.

The thesis in four sentences

1. CMS has the route density, bank relationships and integrated technology needed to be one of the last scaled winners in Indian cash management, even if the industry's transaction volume slowly declines.
2. The earnings mix is improving as fixed-fee integrated ATM contracts and Technology & Payments replace low-yield, transaction-linked business.
3. The market is extrapolating FY26's profit decline and negative free cash flow, while management expects FY27 capex to fall sharply and recently raised EBITDA-margin guidance.
4. I am wrong if ATM demand falls faster than CMS can consolidate the market, or lower capex does not produce materially better cash conversion.

Why the market is sceptical

There are good reasons why CMS has fallen approximately 44% over the last year and trades close to its 52-week low.

- NPCI data show quarterly ATM cash-withdrawal volume falling from about 1.0 billion in Q1 FY23 to 803 million in Q1 FY26—a decline of roughly 21% in the years.
- FY26 revenue increased only from ₹2,425 crore to ₹2,487 crore, while EBITDA fell from ₹627 crore to ₹596 crore and PAT declined from ₹372 crore to ₹303 crore.
- Operating cash flow fell to ₹390 crore, while cash purchases of property, plant, equipment and intangibles reached approximately ₹409 crore. On a simple operating-cash-flow-minus-capex basis, free cash flow was slightly negative.
- Year-end receivable days increased from approximately 123 to 131 on my calculation from the audited accounts, while consolidated receivables rose despite weak revenue growth.
- The company has no classified promoter after the former private-equity owner exited.
- Management met or exceeded its forecasts in FY22–FY24, but acknowledged that it under-delivered in FY25 and FY26.

This is not a clean compounder temporarily available at a low multiple. It is a transition with visible execution risk.

That is also what creates the possible asymmetry.

First, understand what CMS actually does

CMS operates three economic platforms. Thinking of it only as a cash van company misses the more interesting part of the business.

1. ATM Management Solutions — 57% of Q1 FY27 platform revenue

CMS manages more than 70,000 ATMs every day. Its work can include cash replenishment, route planning, ATM deployment, maintenance, transaction management, reconciliation, software and surveillance.

The useful unit is not one cash van. It is **one ATM added to an existing dense route under a multi-year contract.**

The network has high fixed costs: vaults, vehicles, security, employees, insurance, compliance and control rooms. A poorly utilised route destroys value. But once a route exists, adding another nearby ATM can improve the economics because the incremental cost is lower than building the route from scratch.

Scale therefore matters twice:

- It lowers cost per ATM.
- It allows CMS to bid for integrated national mandates that smaller operators cannot execute reliably.

CMS says it now has about **60% market share in ATM cash management.** More than half of its ATM touchpoints are already under end-to-end integrated contracts.

The HDFC Bank mandate illustrates the economics. CMS won a five-year, ₹400 crore integrated contract covering 6,000 ATMs. Dividing the total contract value by the number of ATM-months gives approximately **₹11,000 of revenue per ATM per month.** That is not a disclosed profit number and implementation will not be perfectly linear but it shows why a long-duration fixed-fee contract can be more valuable than a volatile per-transaction arrangement.

2. Retail & Currency Logistics — 25% of Q1 FY27 platform revenue

CMS services more than 65,000 retail touchpoints, connects about 20,000 bank branches and operates around 1,400 cash-in-transit routes daily.

This business collects cash from organised retailers, QSRs, e-commerce networks and other merchants, processes it and deposits it into the banking system. CMS estimates its retail cash-management share at approximately 38%, up around 400 basis points in two years.

The important driver is again density. A single low-volume customer far away from an existing route may be unattractive. Ten customers on the same route can be excellent.

Management has been removing low-yield accounts instead of chasing every logo. That may reduce touchpoint growth in the short term but should improve revenue per route and reduce working-capital stress.

3. Technology & Payments — 18% of Q1 FY27 platform revenue

This is the part of the business that can change the multiple.

Technology & Payments has grown from 7% of services revenue in FY22 to 16% in FY26 and 18% in Q1 FY27. Management expects it to cross 20% by Q4.

The two key products are:

- **HAWKAI:** a Vision AI and remote-monitoring platform covering more than 50,000 sites. CMS says the business has reached roughly ₹200 crore of revenue and has about 36% share in BFSI Vision AI after acquiring Securens. It is also expanding into quick commerce, EV infrastructure, QSRs and organised retail.
- **ALGO MVS:** multi-vendor software that manages ATMs across different hardware suppliers. It is deployed on more than 63,000 ATMs and is expected to reach over 73,000 during FY27.

These products matter because they use CMS's existing banking relationships and operating data but should be less dependent on vehicles, fuel and manual labour. A bank already trusting CMS with cash, uptime and reconciliation has a logical reason to buy monitoring and software from the same vendor.

The moat is not simply "AI." The moat is a decade of labelled operating data, regulated-bank references, national deployment capability and integration with the physical network.

The cash paradox: fewer withdrawals, more currency

India is simultaneously digitising and using more physical currency.

The [Economic Survey 2025–26](#) reported that currency in circulation grew 10.2% year on year as of 31 December 2025. Yet [NPCI's NFS data](#) show a persistent decline in ATM withdrawal volume.

Both can be true.

People can withdraw larger amounts less frequently while using UPI for small transactions. Cash can remain important in rural, informal and wholesale commerce even as the number of ATM visits declines. A stable or growing stock of currency therefore does not guarantee growing ATM transaction revenue.

This is why CMS's change in commercial model matters.

About 12% of its revenue is still exposed to transaction-linked Brown Label ATM contracts. In Q1 FY27, a currency-supply shortage hit this estate hard. CMS reports that well-supplied ATMs saw transactions decline only 1.1% year on year, while undersupplied ATMs saw a 27.2% decline. Management attributed approximately ₹25 crore of lost quarterly revenue to the shortage.

The [Q1 FY27 call](#) also contained the right sceptical question: was the lower cash supply really the cause, or did banks supply less cash to weaker ATMs?

Management defended its analysis using comparisons across banks and geographies but it also admitted that demand after supply normalisation remains uncertain.

I like that answer because it does not pretend the risk has disappeared.

CMS is no longer allocating fresh capital to transaction-linked BLA contracts. New contracts are increasingly fixed fee and integrated. If ATM withdrawals keep falling, this shift reduces—but does not eliminate—the damage.

Why consolidation can beat industry decline

An industry does not need to grow for its strongest participant to grow earnings.

If the total profit pool declines slowly but the number of credible providers declines faster, the survivor can gain share, improve density and reprice uneconomic contracts.

CMS has several signs of this dynamic:

- Approximately 60% share in ATM cash management.
- Approximately 38% share in retail cash management.
- Long-duration wins with SBI, ICICI Bank and HDFC Bank during the last 18 months.
- More than ₹2,000 crore of orders won in FY26, with contracts averaging four to seven years.
- Around 85% of FY27 services revenue was already contracted in May; this increased further during Q1.
- A competitor exit disrupted the industry in FY26 and created both short-term costs and longer-term share opportunities.

- Banks continue to outsource work. Management estimates that roughly 70,000-75,000 public-sector-bank ATMs are still managed internally.

The risk is that market share can be bought at the wrong price. Public-sector-bank tenders can be aggressively bid, and statutory wage or fuel inflation may take time to reprice.

CMS is currently negotiating price increases with private banks and retail customers. Public-sector-bank repricing is slower and requires industry-level engagement. The thesis therefore depends on **profitable share**, not just a higher ATM count.

The financial history: strong cash generation, then a capex shock

The four-year history explains why the stock derated.

- **FY23:** Revenue ₹1,915 crore · EBITDA ₹538 crore · PAT ₹297 crore · Operating cash flow ₹407 crore · Approx. free cash flow ₹215 crore · OCF/EBITDA 76%
- **FY24:** Revenue ₹2,265 crore · EBITDA ₹599 crore · PAT ₹347 crore · Operating cash flow ₹440 crore · Approx. free cash flow ₹332 crore · OCF/EBITDA 73%
- **FY25:** Revenue ₹2,425 crore · EBITDA ₹627 crore · PAT ₹372 crore · Operating cash flow ₹483 crore · Approx. free cash flow ₹329 crore · OCF/EBITDA 77%
- **FY26:** Revenue ₹2,487 crore · EBITDA ₹596 crore · PAT ₹303 crore · Operating cash flow ₹390 crore · Approx. free cash flow **-₹19 crore** · OCF/EBITDA 65%

Source: company filings and presentations. I recalculated free cash flow as reported operating cash flow less cash purchases of property, plant, equipment and intangibles. This differs from the company's presentation definition of capex in some years. Screener is useful for screening and cross-checking the history, but I do not use its derived figures where the audited cash-flow statement provides the underlying numbers.

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Strong cash generation—until FY26's capex shock

₹ crore	FY23	FY24	FY25	FY26
Revenue	1,915	2,265	2,425	2,487
EBITDA	538	599	627	596
EBITDA margin	28.1%	26.5%	25.9%	24.0%
PAT	297	347	372	303
Operating cash flow	407	440	483	390
Approx. free cash flow	215	332	329	-19
OCF / EBITDA	76%	73%	77%	65%

Source: company filings and presentations. Approximate free cash flow is independently recalculated as reported operating cash flow less cash purchases of property, plant, equipment and intangibles.

FY26 was not weak because cash suddenly disappeared from India. Four problems arrived together:

1. Weak consumption reduced ATM transactions and retail cash collections.
2. A large SBI outsourcing contract was delayed after CMS had already created capacity.
3. A competitor's exit disrupted the network.
4. Private banks shut low-yield off-site ATMs while other operators delayed rollo

Some of these were temporary. Some were not.

The important permanent change is higher depreciation. CMS invested heavily in order execution, HAWKAI, ALGO and the FSS managed-services acquisition. Depreciation and amortisation rose from ₹162 crore in FY25 to ₹208 crore in FY26 ; reached ₹73 crore in Q1 FY27.

That is why I would not value CMS only on EBITDA.

EBIT and cash flow matter more.

Q1 FY27: better operations, but PAT still fell

The [Q1 FY27 presentation](#) showed the first evidence of an operational recovery:

- Services revenue reached a record ₹625 crore, up 9% year on year.
- Total revenue was ₹635 crore, up only 1%, because product revenue was at a cyclical trough.
- Management-reported EBITDA margin expanded to 27.2% from 25.3% a year earlier.
- Technology & Payments reached 18% of platform revenue.
- New orders of approximately ₹500 crore were won during the quarter.

But PAT fell 11% year on year to ₹84 crore.

The reason was depreciation. CMS has already paid for assets whose revenue is still ramping up. That creates potential operating leverage if the contracts execute well, but it also creates a sunk-cost problem if they do not.

The reported Q1 tax rate was unusually low because the Securens turnaround allowed the recognition of a deferred-tax asset. At a normal tax rate, quarterly PAT would have been closer to ₹79 crore. I would therefore not annualise the headline ₹84 crore mechanically.

The two accounting issues I cannot ignore → (The reason it will be in my watch list only)

1. Working capital deteriorated

Consolidated receivables increased from approximately ₹815 crore in FY25 to ₹892 crore in FY26, while revenue grew only 3%. Dividing the year-end receivable balance by annual revenue, my simple receivable-days calculation increased from approximately 123 to 131 days.

Customer quality is high—banks and large retailers—but slow collection is still a use of shareholder capital. A receivable from a strong bank is safer than one from a weaker customer, but it is not cash.

Management has tightened collection from managed-service providers and is shifting toward direct bank relationships. I need to see this improve in reported cash flow.

2. Cash shortages and claims are an economic cost

The FY26 cash-flow statement added back approximately ₹62 crore of ATM cash-shortage and claims provisions, up from about ₹52 crore in FY25.

This is not a rounding error. It was equivalent to roughly 20% of FY26 PAT.

CMS handles around ₹14 lakh crore of cash annually, so some losses, theft, claims and timing differences are unavoidable. The company has insurance, recovery processes and provisions. But recurring provisions are part of the cost of doing business, not an exceptional item I can simply remove from valuation.

The FY25 annual report disclosed 28 employee cash-embezzlement cases involving approximately ₹21.7 crore. The amount written off was much smaller, but the gross incident value increased from the previous year.

For a cash-management company, internal control is the product. I will track claim provisions as closely as revenue growth.

Capital allocation: mostly sensible, with two yellow flags

CMS has no classified promoter, but CEO Rajiv Kaul owned approximately 6.45% of the company as of March 2025. That is meaningful skin in the game.

The company has also returned capital:

- It paid cumulative dividends of more than ₹438 crore over FY22–FY26.
- It completed a ₹168 crore tender buyback in June 2026 at ₹340 per share, retiring about 3% of the equity.
- The current market price is roughly 27% below that buyback price.

A buyback above today's market price does not prove that the stock is cheap. It shows that the board believed ₹340 was an attractive use of capital at the time. The more important question is whether CMS had better organic or acquisition opportunities.

During FY26 and Q1 FY27, it also pursued two acquisitions:

- **Securens:** approximately ₹70–80 crore to consolidate Vision AI and obtain a decade of operating data and customer relationships.
- **FSS Managed Services:** up to ₹115 crore for an ATM managed-services portfolio of roughly 8,000 machines and direct mid-sized-bank relationships.

The FSS price equates to roughly ₹1.4 lakh per ATM before assigning any value to software cross-selling or contracts. That looks reasonable, but it is not a pure asset purchase. The real test is whether CMS can move legacy transaction-linked contracts to fixed-fee structures and sell HAWKAI or ALGO into the acquired customers.

The first yellow flag is remuneration. The FY25 annual report shows CEO cash remuneration of approximately ₹15.2 crore, excluding the value of exercised options, and a remuneration-to-median-employee ratio of about 196 times. The CEO also has substantial ownership, but shareholders should still track dilution and compensation.

The second yellow flag is forecasting. Management openly admitted that it missed its own expectations in FY25 and FY26. I prefer the admission to an excuse, but the valuation should not assume every FY30 aspiration is achieved.

On governance, B S R & Co. LLP issued an unmodified audit opinion, related-party transactions were largely within wholly owned subsidiaries, and the board includes former senior RBI and banking executives. These are positives, not substitutes for conversion.

What is the market already pricing in?

At ₹247 and approximately 16.01 crore post-buyback shares, the equity value is roughly ₹3,950 crore.

Trailing PAT is approximately ₹293 crore, giving a P/E of about 13.5 times.

Management indicated around ₹400 crore of cash after the buyback, which means the market is valuing the operating business at roughly ₹3,550 crore before adjusting for lease liabilities.

FY26 free cash flow was negative because it was a peak-capex year. Management expects FY27 capex of only ₹100–125 crore, compared with its stated FY26 capex of about ₹351 crore. The audited cash-flow statement shows approximately ₹409 crore cash purchases of property, plant, equipment and intangibles, so I am deliberately using the higher cash number when judging FY26.

If FY27 EBITDA reaches ₹740–770 crore, operating cash conversion returns toward 65–70%, capex falls to ₹100–125 crore and lease payments remain controlled, I estimate normalised owner earnings of roughly ₹300–330 crore.

That places the ex-cash business at about **11 times normalised owner earnings**, equivalent to an 8–9% starting yield before growth.

Reverse DCF

Using ₹300 crore as normalised starting owner earnings, a 13% discount rate and a terminal growth rate, the current ex-cash value implies only around **4–5% annual cash-flow growth for the next decade.**

This is not a forecast. It is a way to frame expectations.

The market is not requiring CMS to achieve its FY30 aspiration. It is roughly pricing the business as a low-growth cash generator with a meaningful probability of decline.

If Technology & Payments compounds above 25%, core ATM and retail platforms grow only mid-single digits through share gains and repricing, and capex normalises, the market's implied growth looks beatable.

Bear, base and bull cases to FY30

These are scenario values, not target prices.

- **Bear:** FY30 revenue ₹3,000 crore · EBITDA margin 22% · PAT ₹300 crore · Exit E 9× · Implied value ~₹170/share · With estimated dividends ~₹185, or about -25%
- **Base:** FY30 revenue ₹3,900 crore · EBITDA margin 26% · PAT ₹540 crore · Exit E 14× · Implied value ~₹470/share · With estimated dividends ~₹490, or about 2×
- **Bull:** FY30 revenue ₹4,100 crore · EBITDA margin 28% · PAT ₹660 crore · Exit E 18× · Implied value ~₹740/share · With estimated dividends ~₹770, or about 3.1×

Bear case

ATM withdrawal volumes keep falling at a high-single-digit rate. Fixed-fee repricing is delayed. Technology growth slows, FY26 capex does not produce enough revenue and margins fall to 22%. CMS remains profitable, but the market treats it as a declining outsourcer.

The share value could fall toward ₹170–190 despite dividends.

Base case

CMS does not need an ATM revival. It gains share, executes the large bank contract, keeps Technology & Payments near 20–22% of the mix and achieves its lower-end FY30 revenue aspiration with a 26% EBITDA margin.

At 14 times earnings, the equity can approach ₹470 per share. Including dividends, that is close to a 2× total return, or roughly 20–21% annualised through FY30.

Bull case

HAWKAI and ALGO become meaningful platforms outside their initial banking use cases, integrated contracts create operating leverage and the market stops valuing CMS as a melting ice cube.

At 18 times approximately ₹660 crore of PAT, the share can exceed ₹700. This outcome requires excellent execution and should not be the reason to buy.

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Bear, base and bull cases to FY30

Scenario values—not target prices

Scenario	FY30 revenue	EBITDA margin	FY30 PAT	Exit P/E	Implied share value	Return incl. estimated dividends
Bear	₹3,000 cr	22%	₹300 cr	9x	~₹170	~₹185 / about -25%
Base	₹3,900 cr	26%	₹540 cr	14x	~₹470	~₹490 / about 2x
Bull	₹4,100 cr	28%	₹660 cr	18x	~₹740	~₹770 / about 3.1x

Why one can think of starting small

The valuation is attractive, but the evidence is not complete.

I would consider an initial position around the current price for three reasons:

1. The current valuation assumes very little growth despite clear market-share gain and a rapidly improving technology mix.
2. The balance sheet can survive a weak outcome, and the business remains profitable even in the bear case.
3. The payoff is asymmetric if capex falls as guided and owner earnings recover.

I would not make it a large position immediately because:

1. ATM withdrawal volumes are structurally declining.
2. Management has missed growth expectations for two consecutive years.

3. Working capital, claims provisions and depreciation make headline EBITDA less useful than it appears.
4. A large part of the re-rating depends on contracts and capex that still need to convert into EBIT and cash.

This is a value buy with a verification period.

My five-number quarterly dashboard

If I owned CMS, these are the five numbers I would track:

1. **Services revenue growth:** ATM Management and Retail & Currency Logistics should grow despite the weak industry.
2. **Technology & Payments mix:** it should cross 20% of services revenue by Q4 FY and keep rising.
3. **EBIT margin:** not just EBITDA margin, because depreciation is now a major economic cost.
4. **Operating cash flow and capex:** FY27 capex should remain within ₹100–125 crore unless new contracted wins clearly justify more.
5. **Receivable days and cash-claims provisions:** working capital should improve, and claims provisions should not keep growing faster than revenue.

My kill-thesis

I would revisit or exit the thesis if any of the following occurred:

- Well-supplied ATM transactions decline at a sustained high-single-digit or double-digit rate.
- Currency supply normalises but CMS still misses its revised FY27 services-revenue guidance.

- Technology & Payments fails to cross 20% of the mix or slows below 20% growth without a clear temporary reason.
- Annual capex remains above ₹200 crore without matching contracted revenue & cash returns.
- Receivable days remain above 140 or operating cash flow stays below 60% of EBITDA for two consecutive years.
- Cash-shortage and claims provisions exceed 3% of revenue or internal-control incidents materially worsen.
- Management resumes large transaction-linked BLA investment after saying it will not allocate capital there.
- A major bank customer is lost, or concentration increases without pricing power.

Final view

CMS is not a bet that India will abandon UPI and return to cash.

It is a bet that a declining-volume physical network can still produce a growing profit pool for the scaled survivor—and that the survivor can use its distribution, data and bank relationships to build a higher-quality technology business beside it.

The market sees an ATM company whose PAT fell 19% and whose free cash flow disappeared.

I see a company that spent ahead of revenue, has already won long-duration contracts, is moving away from the worst commercial model and is being valued as if the transition will fail.

At ₹400 or at 25 times earnings, I would probably pass.

At roughly ₹247, with the operating business available at around 11 times normalised owner earnings, I would be willing to begin the work of owning it—slowly, with the

kill-thesis written down before the first purchase.

Verdict: Value buy for a starter position. Add only when cash conversion and EBI' confirm the thesis. (i'll not buy at as i like buying 10-20% of portfolio in one go)

— Dhruva

Disclosure: This article describes a research idea and the price at which I would consider initiating a position. It does not state that a position has already been purchased. If my holding status changes, I will disclose it in the relevant portfolio update.

Disclaimer: This publication is for educational purposes and documents my personal investment process. It is not investment advice or a recommendation to buy or sell any security. Please do your own research and consult a qualified financial adviser where appropriate.

Primary sources and further reading

- [CMS Info Systems Q1 FY27 investor presentation](#)
- [CMS Info Systems Q1 FY27 earnings-call transcript](#)
- [CMS Info Systems Q4 and FY26 investor presentation](#)
- [CMS Info Systems FY26 audited consolidated results](#)
- [CMS Info Systems FY25 annual report](#)
- [CMS Info Systems on Screener](#)
- [NPCI retail payments statistics](#)
- [Economic Survey 2025–26, Chapter 3](#)

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